

Welcome back, again. You will have to let me know when you have baby pictures in the office - would love to see them.

Last week, I orchestrated some changes within my operations organization which will free up more of my time to focus on the successful commercialization of mid and back office services. I have asked Bob Hall to lead operations for Enron Americas, with Peggy Hedstrom (Calgary operations), Jeff Gossett (Gas Risk and South America Operations), Stacey White (Power Risk) and Leslie Reeves (Confirmations and Settlements) reporting directly to him. He is enthusiastic about the additional responsibility and I believe that he will do an excellent job for Enron Americas.

Other changes include appointing Kevin Sweeney as head of operations for EIM, with Brenda Herod reassigned as part of a project team that will work on the EES assimilation. I have also asked Beth Apollo to play a project management lead role in the assimilation of EES into EWS.

I will be glad to fill you in on more details on any of these changes. The result is to give more responsibility to several key players - stretching them, but I will be there to support and coach them in their new roles if needed. Plus, I can now devote significantly more time to the commercialization effort. In that regard, I did move to the 27th floor (next to Piper) while you were out on leave.

I wanted to share these changes with you before a memo goes out across the organization next Monday. Call me if you would like to discuss. --Sally